

Mark Scheme (Predicted)

ADVANCED

Pearson Edexcel International GCSE

in Economics (4EC1) Paper 01

Paper 1: Microeconomics and Business Economics

General Marking Guidance

- All candidates must receive the same treatment.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme, not according to their perception of where grade boundaries may lie.
- All marks on the mark scheme are designed to be awarded. Award full marks if the response matches the mark scheme; award zero if the response is not worthy of credit.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Question number	Which one of the following values shows unitary price elasticity of demand? Answer	Mark
1(a)	AO1 1 mark The only correct answer is: C -1 A is not correct because this is perfectly price inelastic demand B is not correct because this is price inelastic demand D is not correct because this is price elastic demand	(1)

Question number	A worker earns €12.00 per hour for a 35-hour week plus 6 hours of overtime at 1.75× the hourly rate. Total gross wage. Answer	Mark
1(b)	AO2 1 mark The only correct answer is: C €546.00 Working: $(35 \times €12.00) + (6 \times €12.00 \times 1.75) = €420.00 + €126.00 = €546.00$ A is not correct because this is only the standard 35 hours B is not correct because this assumes 41 hours at the standard rate D is not correct because this is 41 hours paid at 1.75×, which double-counts the standard hours	(1)

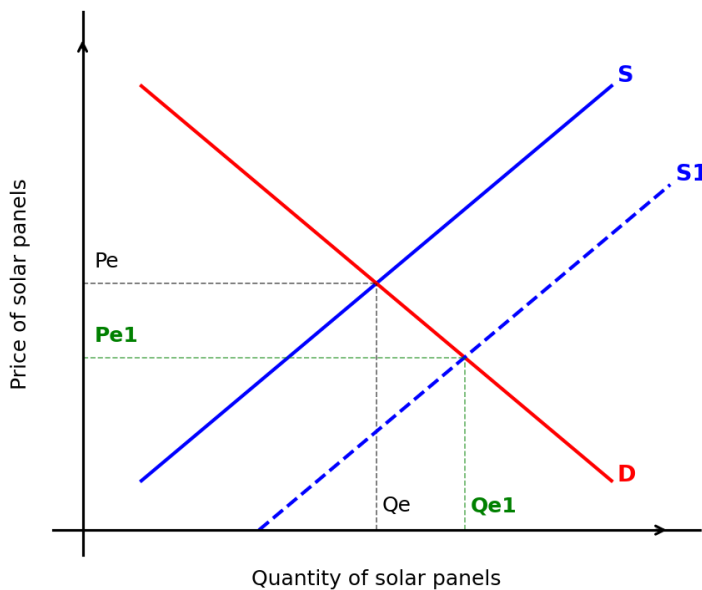
Question number	What is meant by the term planned economy? Answer	Mark
1(c)	AO1 2 marks Award up to 2 marks for a correct definition An economy in which the government/state (1) makes the decisions about the allocation of resources / what, how and for whom to produce (1) Accept any other appropriate response	(2)

Question number	State one example of an occupation in the tertiary sector. Answer	Mark
1(d)	AO1 1 mark • Teacher / Retailer / Banker / Doctor / Hairdresser / Nurse Accept any other appropriate response	(1)

Question number	Define the term factor of production. Answer	Mark
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1(e)	AO1 1 mark A resource used to produce goods and services — land, labour, capital or enterprise Accept any other appropriate response	(1)
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Question number	Calculate PED: price +15%, quantity demanded -24%. Answer	Mark
1(f)	AO2 2 marks Award 1 mark for showing correct calculation $-24\% \div 15\%$ (1) Award 1 mark for correct PED $= -1.60$ (1) Award 2 marks if PED is correctly calculated as -1.6 or -1.60, even if no calculations are shown Do not award marks for the formula alone	(2)

Question number	Effect on the solar panel market of a producer subsidy. Answer	Mark
1(g)	 AO2 3 marks Award 1 mark for a rightward shift of the supply curve, labelled (e.g. S1) Award 1 mark for a lower equilibrium price, labelled (e.g. P1) Award 1 mark for a higher equilibrium quantity, labelled (e.g. Q1)	(3)

Question number	Explain one possible opportunity cost for MediCorp of choosing to invest in R&D rather than paying dividends. Answer	Mark
1(h)	AO2 3 marks	(3)

	Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is shareholders not receiving dividend income (1). Shareholders will not receive a cash payment from the \$420 million profit (1), which is the next best alternative use of the funds, sacrificed by investing in R&D (1) Accept any other appropriate response (e.g. share price may fall in the short term, loss of shareholder confidence)	
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Question number	Analyse two possible factors influencing Sony's decision to relocate its camera assembly to Vietnam. Indicative content
1(i)	AO2 (3 marks) / AO3 (3 marks) • Factors influencing business location decisions include production costs (especially labour), proximity to markets, availability of skilled labour, government policy and exchange rates. • Labour costs in Vietnam are significantly lower than in Japan, which would reduce Sony's variable costs and lower average cost per camera. • The growing South-East Asian consumer market means producing close to customers reduces transport costs and delivery times, improving responsiveness. • However, Sony faces set-up costs, worker training and quality-control risks, which may offset some of the savings — the firm must weigh these against the long-term cost reductions. • Sony's decision will also depend on whether Vietnamese workers can quickly reach the productivity levels of Japanese workers; if not, quality could suffer and consumer confidence in the Sony brand may fall. • Exchange rate and political stability in Vietnam may also influence the decision, since fluctuations can affect overall cost savings.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with

Level	Mark	Descriptor
		some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Which diagram shows the effect of an increase in the cost of raw materials? Answer	Mark
2(a)	AO2 1 mark The only correct answer is: B Leftward shift of the supply curve, higher price, lower quantity A is not correct because this shows a fall in costs / subsidy C is not correct because this shows a rise in demand D is not correct because this shows a fall in demand	(1)

Question number	Which one of the following is a feature of monopolistic competition? Answer	Mark
2(b)	AO1 1 mark The only correct answer is: C Firms sell differentiated products and have some price-making ability A is not correct because this describes a monopoly B is not correct because this describes perfect competition D is not correct because barriers to entry are low in monopolistic competition	(1)

Question number	Calculate the percentage change in the firm's total revenue when price rises from \$40 to \$44 and quantity falls from 1,000 to 900. Answer	Mark
2(c)	AO2 2 marks Award 1 mark for showing correct calculation $\text{Old TR} = \$40 \times 1,000 = \$40,000$ $\text{New TR} = \$44 \times 900 = \$39,600$ (1) Award 1 mark for correct percentage change $\% \text{ change} = ((\$39,600 - \$40,000) \div \$40,000) \times 100 = -1.00\%$ (1) Award 2 marks if the percentage change is correctly calculated as -1% or -1.00%, even if no calculations are shown Do not award marks for the formula alone	(2)

Question number	What is meant by the term merit good? Answer	Mark
2(d)	AO1 2 marks Award up to 2 marks for a correct definition A good that is underconsumed / under-provided in a free market (1) because consumers undervalue the private benefits and/or the good	(2)

	generates positive externalities (1) Accept any other appropriate response (e.g. examples such as education or healthcare may be used to support the definition)	
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Question number	Describe one feature of a monopoly. Answer	Mark
2(e)	AO1 2 marks Award 1 mark for reference to the feature and 1 mark for development Single firm dominates the market (1) so it has significant market power / is a price-maker (1) OR High barriers to entry (1) so few or no competitors can enter the market (1) OR Abnormal profits in the long run (1) because there is no competitive pressure to reduce price (1) Accept any other appropriate response	(2)

Question number	Explain one reason why Piotr may want to donate to the food bank rather than maximise the profits received by the owner. Answer	Mark
2(f)	AO2 3 marks Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context - Managers may pursue social responsibility (1). Donating to a local food bank improves the firm's reputation and brand image (1) which, although it reduces Olga's profits by 10%, may attract more ethical consumers to the organic food store (1) - Managers may have different objectives to owners (1). Piotr may personally value helping the community (1) and donating instead of distributing to Olga, the owner, achieves his non-profit goal (1) Accept any other appropriate response	(3)

Question number	Assess the effectiveness of tradable pollution permits when dealing with negative externalities such as carbon emissions. Indicative content
2(g)	AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks) - Negative externalities are costs imposed on third parties as a result of production/consumption — carbon emissions are an example because they contribute to climate change affecting society at large. - Tradable permits place a cap on total emissions and allow firms to buy or sell

	permits, meaning the market decides how emission cuts are made. • Firms that can cut emissions cheaply have an incentive to do so and sell their spare permits, so reductions are made at the lowest cost — this is economically efficient. • The cap guarantees an overall fall in emissions, which directly addresses the externality. • The EU ETS has raised the cost of emitting CO₂ for polluting industries, incentivising investment in cleaner technology. • Therefore, tradable permits can be an effective market-based solution to environmental externalities. • AO4 • However, permit prices in the EU ETS have been volatile, making it hard for firms to plan long-term investment in low-carbon technology. • Free allocation of permits to some industries (e.g. heavy manufacturing) weakens the price signal and undermines the policy. • Monitoring and enforcing the cap requires administrative resources — there is an opportunity cost and the risk of fraud. • Regulation (e.g. strict emission limits) gives more certainty on outcomes and may be easier to enforce, even if less cost-efficient. • The overall effectiveness depends on the level of the cap, whether it is tightened over time, and the coverage of industries. A combination of permits and regulation may be more effective than either alone.
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	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant

Level	Mark	Descriptor
		points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question number	Which is most likely to cause a decrease in demand for labour? Answer	Mark
3(a)	AO1 1 mark The only correct answer is: C The introduction of labour-saving automation A is not correct because higher demand for the product increases derived demand for labour B is not correct because higher productivity typically increases demand for labour D is not correct because lower training costs make labour cheaper relative to capital	(1)

Question number	Which formula calculates total revenue? Answer	Mark
3(b)	AO1 1 mark The only correct answer is: A Price × quantity sold B is not correct because this gives total revenue only as an identity, not the calculation C is not correct because dividing does not calculate revenue D is not correct because adding does not calculate revenue	(1)

Question number	Draw a perfectly price inelastic demand (PED) curve. Answer	Mark
3(c)	 AO2 3 marks Award 1 mark for drawing a vertical demand curve, labelled (e.g. D)	(3)

	Award 1 mark for showing a change in price on the price axis Award 1 mark for showing no change in quantity on the quantity axis	
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Question number	Analyse the possible advantages for Rolex of using specialisation in its production process. Indicative content
3(d)	AO2 (3 marks) / AO3 (3 marks) • Specialisation (division of labour) involves breaking the production process into smaller tasks, with each worker focused on one specific task. • At Rolex, individual craftsmen specialise in elements such as movement assembly, engraving or dial fitting — they develop very high skill in their narrow task. • This high skill level translates into higher quality output, which is essential for Rolex's reputation as a premium brand. • Specialisation also raises productivity because skilled workers complete their tasks more quickly and accurately, lowering the time needed per watch. • Over time, training costs are lower per worker because each person only needs to learn one stage, and experienced workers can train newcomers. • The very high quality and brand reputation that results from specialisation justify Rolex's premium prices, allowing it to earn abnormal profits in the long run.

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Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Assess whether demand is likely to be more price elastic for designer branded clothing than for bread. Indicative content
3(e)	AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks) • Price elasticity of demand (PED) measures the responsiveness of quantity demanded to a change in price. • Designer clothing, such as Gucci or Balenciaga, is a luxury and takes up a large share of consumer income, making demand responsive to price changes — therefore more price elastic. • Designer clothing has close substitutes: consumers can switch to cheaper branded or non-branded clothing if the price of Gucci rises, reinforcing elasticity. • Bread, by contrast, is a necessity and a staple food. Consumers must continue buying it to meet basic dietary needs, making demand price inelastic. • Bread is inexpensive — a small percentage rise in price means only a small absolute increase in spending, so quantity demanded changes little. • Demand for designer branded clothing is therefore likely to be more price elastic than demand for bread. • AO4 • However, demand for designer brands may be price inelastic among wealthy consumers, for whom the price is a small share of income and the status of the brand matters more than cost. • Demand for bread may be more price elastic than expected because there are many close substitutes such as rice, pasta and breakfast cereals. • Own-brand supermarket bread may have price elastic demand even though bread overall is a necessity, because customers can easily switch between supermarket brands. • In the long run, fashions change — consumers may become less attached to specific designer labels, raising elasticity over time. • On balance, designer branded clothing is typically more price elastic than bread, but within each market the elasticity depends on the brand, the consumer group and the time horizon.

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	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).

Level	Mark	Descriptor
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question number	Calculate the daily total revenue earned by the airline. Answer	Mark
4(a)	AO2 2 marks Award 1 mark for showing correct calculation Total passengers per day = $24 \times 150 = 3,600$ Total revenue = $3,600 \times \\$85$ (1) Award 1 mark for calculating correct total revenue = \$306,000 (1) Award 2 marks if total revenue is correctly calculated as \$306,000, even if no calculations are shown Do not award marks for the formula alone	(2)

Question number	Analyse how internal economies of scale may lead to benefits for Samsung. Indicative content
4(b)	AO2 (3 marks) / AO3 (3 marks) - Internal economies of scale occur when average costs fall as a firm expands its output — examples include purchasing, marketing, technical, managerial, financial and risk-bearing economies. - Samsung's global scale means it buys components (e.g. glass, semiconductors) in very large quantities, earning substantial bulk discounts — purchasing economies. - The firm invests \$30 billion per year in R&D, which is spread over millions of units sold worldwide, lowering the average R&D cost per device. - The highly automated Pyeongtaek semiconductor plant is a technical economy — such advanced plants only become cost-effective at high volumes. - Marketing costs for global campaigns are spread over a vast output, lowering the average marketing cost per unit. - Risk-bearing economies arise because Samsung's product portfolio spans smartphones, TVs, chips and appliances — weakness in one segment can be offset by another. - All these economies reduce Samsung's average costs, allowing lower prices, higher margins or greater investment in future products.

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	0	No rewardable material.
Level 1	1–2	- Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). - Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	Demonstrates partial knowledge and understanding by developing

Level	Mark	Descriptor
		relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	- Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Evaluate whether consumers in Kenya are likely to have benefited from the deregulation of the telecommunications industry. Indicative content
4(c)	AO2 (4 marks) / AO3 (4 marks) / AO4 (4 marks) • Deregulation is the removal of government restrictions on entry, pricing or operation in a market, which allows more private-sector competition. • Kenya's telecoms market was previously a state-owned monopoly with high prices and low coverage. • Allowing private firms like Safaricom and Airtel to compete has forced providers to cut prices to win customers, directly benefiting consumers. • Mobile phone ownership has risen from a very low base to over 95% of adults, giving consumers access to services they could not previously afford. • Competition has driven innovation — M-PESA transformed financial access, allowing millions of previously unbanked Kenyans to send money, receive wages and save digitally. • Greater product choice (more networks, more tariffs, new services) gives consumers more flexibility to find plans that suit their needs. • Therefore, consumers appear to have benefited significantly from deregulation. • AO4 • However, critics argue that market power has concentrated in a small number of firms — Safaricom in particular has a dominant share, creating oligopolistic conditions where prices are no longer pushed as aggressively. • Rural users still face limited coverage and higher prices because providers focus investment on more profitable urban areas — so benefits are uneven. • Without effective regulation, a dominant firm can exploit its position, reducing consumer welfare compared with a competitive market. • Deregulation can also reduce quality standards if firms compete only on price and cut investment in network reliability. • Some former state employees may have lost jobs during the restructuring of the industry — an important distributional cost, though outside the direct scope of consumer welfare. • The overall outcome depends on the strength of the Kenyan communications regulator and whether it prevents dominant firms abusing their position. On balance, most consumers in Kenya have clearly benefited — prices are lower and services are broader — but the gains are less evenly spread in rural areas, and continued regulatory vigilance is needed to preserve competition.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of

Level	Mark	Descriptor
		reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	- Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). - Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	- Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). - Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).